

A large part of performance [reported by industry] is driven by inflated accounting valuation of ongoing investments and we find a bias toward better performing funds in the data.

In the worst case, GPs just lie. Oppenheimer & Co. paid \$2.8 million to settle charges that it inflated the value of investments in its PE fund, causing the fund's IRR to jump from 3.8% to 38.3%. The pie-in-the-sky numbers succeeded in bringing in \$61 million of capital. The lack of PE market values and nontransparency make subjective valuations open to abuse, and an SEC official says the "number of cases involving PE will increase."³⁴

Asset owners are warned: trusting research published by PE firms stating that PE outperforms is like believing in research conducted by cigarette companies concluding that smoking doesn't cause cancer.

3.7. PORTFOLIO COMPANY INVESTMENTS

While adding little value, on average, to LPs, PE funds do add significant value to the companies in their portfolio.³⁵ Kaplan and Stromberg (2009) show that profitability rises after a PE transaction. Investment in new projects also increases after a PE transaction.

PE firms create value in several ways. Of course they provide capital to up and coming firms that need it. But Chemmanur, Krishnan, and Nandy (2011) find that VC firms provide more than just financing. VCs can select higher-quality entrepreneurial firms, and they provide them with expert advice and professionalize management, as well as provide support for firms marketing their products (often using the GPs' networks). From the standpoint of principal-agent theory (see chapter 15), a buyout fund that purchases 100% of a company can reduce agency problems as there is no separation between ownership and control. Since the owners are the managers, they have more skin in the game.

The benefit of this value creation, unfortunately for asset owners, appears to be going to the PE fund managers (GPs), rather than the investors in the PE funds (LPs). This is entirely consistent with the Berk and Green (2004) model of asset management we covered in chapter 16.

3.8. SUMMARY

The lack of regular market prices and selection bias are fundamental problems in assessing the risk and returns in PE. In my reading of the literature, there is little compelling evidence to suggest that the average PE fund significantly outperforms

³⁴ SEC Administrative Proceeding File No.3-15238. Quoted by Zuckerman, G., and J. Eaglesham, "Oppenheimer & Co. to Pay Fine Over Fund," *Wall Street Journal*, March 12, 2013.

³⁵ See Da Rin, Hellman, and Puri (2011) for a summary.